

AI GOVERNANCE BRIEFING

The NAIC AI Systems Evaluation Tool: What Your Carrier Should Have Ready

A briefing for compliance and governance teams

What the Tool Is

The NAIC's Big Data and Artificial Intelligence (H) Working Group built the AI Systems Evaluation Tool as a supplemental resource for state examiners assessing how an insurer governs its AI systems. It doesn't replace existing exam frameworks, the Market Regulation Handbook, the Financial Condition Examiners Handbook, or the Financial Analysis Handbook, it creates an additional layer on top of them.

The pilot is running on the current version (version 4.0) and twelve states are piloting it (California, Colorado, Connecticut, Florida, Iowa, Louisiana, Maryland, Pennsylvania, Rhode Island, Vermont, Virginia, and Wisconsin) across market conduct exams, market conduct reviews, financial analysis, and financial exams, for P&C, life, and health lines.

Examiners are being instructed to start with a single inventory exhibit and escalate only if the answers warrant it. This is a funnel, not a simple blanket questionnaire, which means a carrier's actual exposure depends heavily on how clean the first answer is. Note: During the pilot, states are applying a stated "principle of proportionality", prioritizing high-risk consumer or financial impact systems over low-risk back-office systems.

Timeline: Pilot to Adoption

The pilot runs March–September 2026 across the 12 states above. The tool is expected to be considered for formal adoption at the November 2026 NAIC Fall National Meeting. The Big Data and Artificial Intelligence (H) Working Group met on this exact topic at its August 2026 Summer National Meeting session; no revised timeline had been published as of this writing.

What the Exhibits Actually Ask For

The tool has four exhibits and regulators are advised to escalate through them only as much as is warranted:

- **Exhibit A: Use Inventory.** For each operational area (underwriting, ratemaking, claims, marketing, fraud detection, etc), how many AI models are in use? How many touch consumers directly? How many carry material financial impact? How many were implemented in the last 12 months?

- **Exhibit B: Governance Risk Assessment.** Either a narrative response (how the governance framework works, who owns it, how it reports to the Board, how it ties into ORSA/ERM) or a checklist matrix citing the specific page of the carrier's own governance documentation against 14 sub-items such as unfair trade practice risk, data privacy, model suitability, vendor procurement standards, etc.
- **Exhibit C: High-Risk System Detail.** For every model the carrier self-identifies as high-risk: what it is, who built it, how its outputs were tested and validated, when it was last tested, and importantly, whether the company has ever faced regulatory action tied to that specific model.
- **Exhibit D: Data Inventory.** A 25-item checklist of specific data types (driving behavior, telematics, geo-demographics, medical/biometric data, etc), whether each is used, where it's sourced, and how that data flows through operations.

What a Carrier Should Have Ready

A carrier that goes into an exam with these already built will have a fundamentally different conversation than one improvising in the room:

- A current, firm-wide AI model inventory showing: what's in use, what's in development, what's been retired, with an owner and a last-validated date for each.
- A written governance framework document that can be pointed to, page by page, against Exhibit B's 14 sub-items (not a narrative built from scratch when asked).
- Per-model testing and validation records for anything the carrier would call high-risk: These records should show how it was tested for drift, accuracy, unfair discrimination, and dates showing when testing was done.
- A data-element inventory mapping what's actually feeding these models as well as if they are sourced internally or from a named vendor.

None of this is out of the ordinary. This fits the same discipline SR 11-7 has asked of banks' model risk functions since 2011, and the same evidentiary standard state market conduct exams already apply to non-AI findings. The gap is usually that no one has assembled it in one place yet.

This briefing is shared as reference material. Feel free to pass it along to clients with or without attribution.